

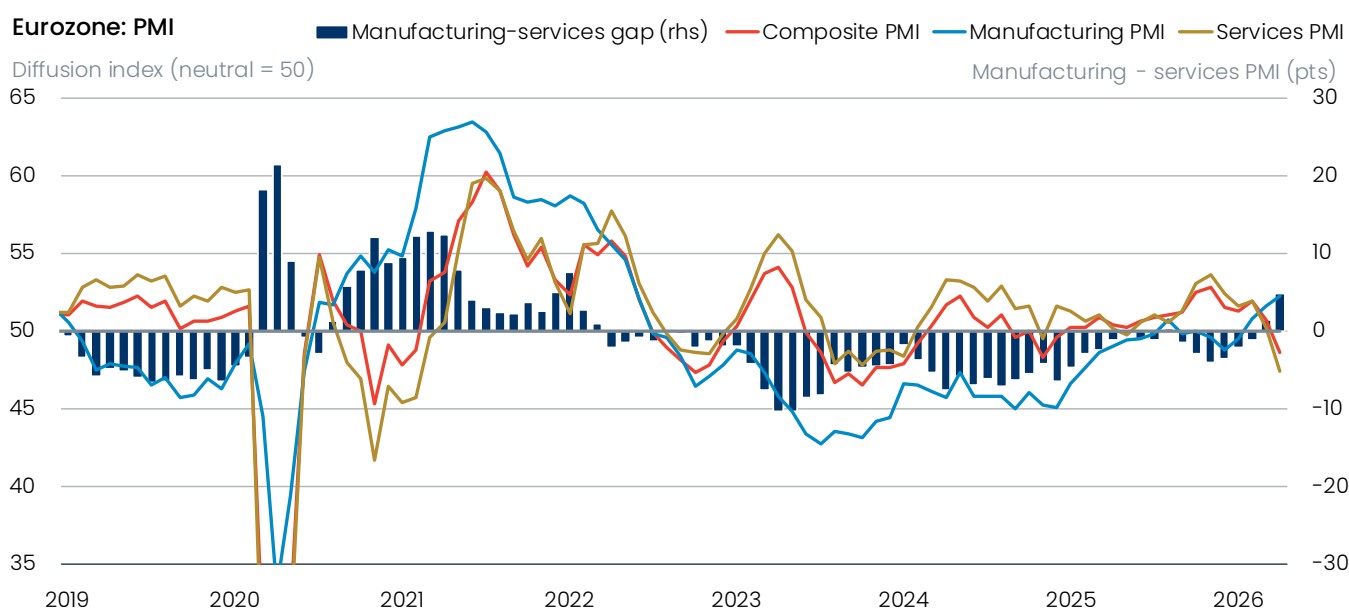
PMI's suggest activity contracted in April

- The flash PMI experienced a broad-based fall in April, with the composite PMI declining to 48.6, signalling contraction. The services PMI collapsed to a 5-year low. The increase in manufacturing was distorted by longer delivery times mechanically supporting the index.
- At the country level, both France and Germany slipped into contractionary territory with headline PMIs of 47.6 and 48.3 respectively. Germany saw declines in both sectors though manufacturing remained in expansion, while in France services weakened sharply but manufacturing strengthened.
- This poses a clear downside risk to our Q2 GDP forecast of marginal growth in the Eurozone. Deteriorating sentiment and contracting activity suggest weaker growth ahead, with ongoing uncertainty and elevated energy prices likely to continue weighing on the outlook.

The Eurozone composite PMI continued to fall in April, dropping 2.1pts to 48.6, signalling a return to contraction. The fall in the composite PMI was driven entirely by services which fell to 47.4, the lowest since second wave of the pandemic. [Sentiment has been deteriorating](#) at an increasing pace, and we expect the sectors most exposed to a [fall in purchasing power and sentiment](#) to be affected first. The PMIs show a diminished willingness to spend, with new services business orders falling at the fastest pace in almost a year and a half.

The manufacturing PMI remained resilient, rising 0.6pts to 52.2 and a near-4-year high. But this strength was also supported by the largest increase in suppliers' delivery times since mid-2022, which mechanically lift the index. The less affected manufacturing output index also rose 0.2pts to an 8-month high, but this expansion may be paid back in coming months, as it was driven by customers seeking to secure purchases and avoid further price rises and supply shortages in the coming months.

Chart 1: PMIs posted another drop in April



Sources: Oxford Economics, S&P Global

Input price inflation accelerated to its highest rate since November 2022. Manufacturing experienced the sharper rise, standing well above services. Evidence for passthrough is mixed. While output price inflation hit a 37-month high, manufacturing output prices drove the increase; services prices remained broadly flat in comparison.

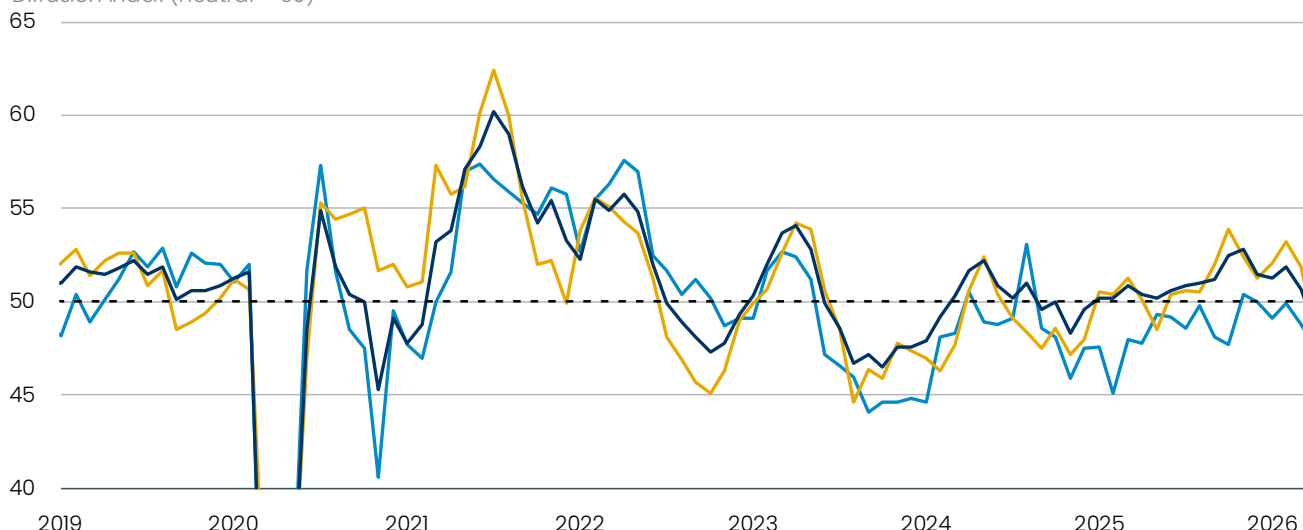
Manufacturing firms also reduced employment, but at a slower rate than in March. The service sector saw an increase in staffing across the Eurozone, despite the broad-based downturn in activity. We expect [labour market resilience](#) to continue in spite of the Iran supply shock, and we see this cushioning the blow to consumption.

In Germany, activity fell for the first time in almost a year, but the reading suggests only a moderate decline. The composite indicator fell 3.6pts to 48.3, lead by the services sector. The manufacturing PMI remained in expansionary territory but also fell to 51.2. The fall in the manufacturing PMI may be slightly understated as it was mechanically supported by longer delivery times. The less affected output index fell more steeply to 51.7. Most notably, Germany showed the clearest evidence of inflation passthrough, as manufacturers experiencing the strongest cost pressures in over 3 years, also increased output prices at the quickest rate in 3 years.

Chart 2: The fall in April was consistent across countries

Eurozone: Composite PMI by country

Diffusion index (neutral = 50)



Sources: Oxford Economics, S&P Global

In France the headline figure fell to 47.6 in April from 48.8, falling deeper into contractionary territory. The decline was contained to services while, the manufacturing sector reached 4-year highs in both the headline PMI and manufacturing output indices at 52.8 and 52.9 respectively. Order front-loading and stock building drove factory order intakes into expansion for the first time in almost four years, with French factories building up inventories.

The drop in the PMI was echoed by a sharp decline in consumer confidence in the Eurozone which fell to its lowest level since late 2022. In France, the INSEE business climate index fell in April to its lowest level since 2015, excluding the pandemic period. As with the PMI, the services sector appears to be disproportionately affected, with retail trade taking a particularly severe hit, while manufacturing posted small gains in April.

Overall, the data point to a clear loss of momentum at the start of Q2, and increasing price pressures, reinforcing our lower-growth and higher inflation forecast. Evidence of stronger price pressures building up will be closely watched by the ECB and adds credence to our view that the central bank will have to hike rates later this year. While labour market resilience may provide some near-term support to consumption, the deterioration in sentiment, falling new orders and emerging signs of passthrough suggest that both growth and inflation dynamics are likely to worsen in the coming months, leaving risks to our forecast tilted firmly to the downside.